

Women-Led Ventures: Target Margins in Emerging Markets

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Abstract

In recent decades, though the number of female entrepreneurs has grown, a gender gap remains. Self-confidence plays a pivotal role in understanding these differences. We examine gender and target margins in a vast dataset spanning Latin America, the Caribbean, and Sub-Saharan Africa. We use linear and interval regression analysis to estimate the relationship between gender and setting target margins. We find that female-led ventures are nearly five percentage points less likely to establish target margins compared to male-led ventures, even after adjusting for observable factors. Furthermore, ventures founded by women tend to set lower target margins than those with only male founders. These disparities could be attributed to intrinsic gender characteristics, contextual influences, and unique company traits. Given the link between profit margins and self-confidence, these findings suggest that, due to their self-assurance, typically higher, male entrepreneurs often set more ambitious goals, resulting in higher profits. To promote gender equality in entrepreneurship, policymakers, accelerators, and incubators should focus on bolstering the confidence of female entrepreneurs.

Keywords Gender gap | Venture target margin | Venture performance | Gender composition

JEL Classification J16 | L21 | M13

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1 Introduction

In recent decades, the number of female entrepreneurs has increased substantially. However, this growth did not have the expected impact on global economies due to the disparity in terms of performance between male- and female-led businesses (Elam et al., 2021). Previous studies have addressed the performance of female-led ventures in terms of the return on owner's equity and total assets (Johnsen et al., 2005), survival, revenue, profit, and sales (Bardasi et al., 2011; Fairlie & Robb, 2009), and employment (Guzman & Kacperczyk, 2019). The general conclusion of these studies is that female-led ventures are more likely to close and perform worse than those led by men.¹

Women experience additional disadvantages associated with gender ascription as opposed to men (Marlow & Patton, 2005). These disadvantages translate into a limited accumulation of social, cultural, human, and financial capital and thus limit women's ability to accumulate personal savings, develop credit histories attractive to formal lenders, or garner interest from venture capitalists (Lall et al., 2019).

As documented by Bloom and Van Reenen (2007), setting clear profit targets is an important predictor of a venture's success. If women are less likely than men to set target margins for their ventures, that might partially explain why ventures led by women have lower chances of survival (Fafchamps et al., 2014; McKenzie et al., 2017).

While numerous studies have focused on the gender gap in business profits, we posit that this gap is not solely a result of variations in total business earnings, but also of the self-confidence entrepreneurs possess in their capabilities proxied by the setting of profit margins

¹Elam et al., (2021) find that, in Latin America and the Caribbean (LAC), female-led ventures are 1.3 percent more likely to close, and the reason cited most frequently is a lack of profitability.

for their ventures. Entrepreneurs' confidence can be influenced by various factors, such as the culture and social norms (Urbano et al., 2019), barriers in accessing credit (Brana, 2013; Burke et al., 2014; Gicheva & Link, 2013), and their educational attainment (Lee & Huang, 2018). In all these aspects, women often face disadvantages relative to men (Lee & Huang, 2018). Therefore, it is not surprising that male entrepreneurs tend to have more self-confidence than women (Kirkwood, 2009). This higher self-confidence translates into setting higher target margins and, ultimately, results in better business outcomes (Kirkwood, 2009; Zisser et al., 2019).

We study whether there is a difference in terms of target-margin setting and level thereof across ventures based on the gender composition of their founders. We use the Global Accelerator Learning Initiative (GALI) cross-sectional dataset, focusing our attention on Sub-Saharan Africa (SSA), and Latin America and the Caribbean (LAC), the regions with the highest rate of total early-stage entrepreneurial activity (Elam et al., 2021). We find that female-led ventures are almost 5 percentage points (pp) less likely than male-led ventures to establish target margins, even after controlling for the ventures' and their founders' observable characteristics. Moreover, ventures with only female founders tend to set lower target margins than those with only male founders; the distribution of ventures shows that female-led ventures tend to specialize in low-value-added industries, where target margins are usually lower.

Given that entrepreneurship has been put forward as a solution for female unemployment, it is important to understand how women make business decisions. Future research should focus on exploring the mechanisms behind the gap we find—specifically, whether entrepreneurial confidence, more realistic expectations, or greater hesitancy to set a target

explain the findings. Policymakers and governments, as well as accelerators and incubators, can play a major role in supporting female entrepreneurs grow their businesses, especially in developing countries.

2 Theoretical Background

2.1 Entrepreneurial Gender Gap and Venture Performance

Entrepreneurship is a crucial avenue for generating jobs, fostering economic growth, and ensuring prosperity (Brooks et al., 2014). A significant gender gap exists in entrepreneurship, with women generally experiencing lower rates of business growth (Assenova, 2020). This performance gap can be attributed to several factors, including systemic and cultural barriers (Assenova, 2020), differences between female-led and male-led ventures (Bardasi et al., 2011; Fairlie & Robb, 2009; Orser et al., 2006), and individual characteristics such as education (Spring, 2009) and prior work experience (Duchin et al., 2021; Jaiswal, 2020).

First, female entrepreneurs grapple with context-specific barriers (Guerrero et al., 2020.), which are in turn intertwined with the macroeconomic and microeconomic ecosystems (Cefis et al., 2020). The effectiveness of institutions significantly influences female entrepreneurial participation (Urbano et al., 2019), and cultural factors significantly influence the characteristics and performance of female-led ventures. This often impedes their development (Kalafatoglu & Mendoza, 2017) and hinders their overall success (Bernhardt et al., 2019; Hardy & Kagy, 2020; Nichter & Goldmark, 2009). For instance, Ananda et al., (2021) find that the greater the gender diversity on a venture's board of directors can negatively affect performance. In contrast, Ojong et al., (2021) and McClelland et al., (2005) conducted a cross-country analysis and concluded that female entrepreneurs tend to thrive in

culturally-supportive environments. Importantly, a high level of female success is contingent on specific institutional conditions and pathways.

Second, female-led ventures often exhibit distinct characteristics, including smaller scale (Bardasi et al., 2011), concentration in industries with lower added value (Allen et al., 2007; Orser et al., 2006), lower capital levels (Fairlie & Robb, 2009; Orser et al., 2006) and disparities in access to loans (Nure, 2021). Recent reports from the Global Accelerator Learning Initiative (GALI) highlight that access to financing is the primary obstacle for women entrepreneurs across different stages of entrepreneurship (Davidson & Hume, 2020; Brooks et al., 2014). The industry of the venture and biases against women also contribute to this challenge. Ventures with funding tend to grow up to 30 percent faster, but only 11 percent of seed funding capital in emerging markets goes to ventures with at least one woman in their founding team (Sonneborn et al., 2020).²

Third, differences in individual factors are important to understand the gender gap in entrepreneurship. Factors like optimism, overconfidence, age, experience, and education shape business success (Fatma et al., 2021, 2019; Gupta et al., 2019). Men are more likely to exhibit entrepreneurial overconfidence, while women's lower average entrepreneurial self-efficacy is not due to inferior entrepreneurial ability (Jennings et al., 2023). Moreover, individual motivations, particularly regarding profitability and sales growth, play a pivotal role in determining venture success (Ming-Yen et al., 2007). Women involved in the creation

² An interesting interaction between the systemic conditions and the characteristics of the ventures has been identified by Lall et al. (2020). The study considers, in the entrepreneurial landscape, the probability of entrepreneurs, particularly women, being part of an accelerator program. Notably, this probability is lower for women, and it further diminishes if they are operating in a developing country. Being part of an accelerator program, typically perceived as an effective means of entrepreneurial support, can have reduced effectiveness in this context.

of their ventures earn higher profits and have higher margins than men, but their performance may lag behind due to a lack of clearly defined objectives (Storey, 2022). Women often exhibit risk-averse decision-making tendencies, potentially leading to missed opportunities for enhancing venture performance (Ananda et al., 2021).

In addition, prior industry experience and years of self-employment are significant predictors of female entrepreneurial success. Women tend to lag in these areas because of their relatively lower work experience and focus on relatively new small businesses. This lack of experience can limit networks, contacts, and socialization practices, hampering the performance and long-term growth and survival of their ventures (Assenova, 2020; Schiller & Crewson, 1997). Additionally, women with limited technical and professional training may face financial constraints, affecting their entrepreneurial activities and corporate performance (Brooks et al., 2014; Ming-Yen et al., 2007)

2.2 Funding Disparities and Strategies in Entrepreneurship

We now turn our attention to the implications of systemic and cultural barriers on individual attributes on the entrepreneurial landscape. Coleman and Robb (2009) and Breschi et al. (2019) note that the gender disparity in terms of funding likelihood decreases when founders possess STEM degrees, previous CEO experience, and patent ownership. Nevertheless, this decrease in disparity does not extend to the actual funding amounts received.

Bernstein et al. (2017) find that more experienced investors with greater resources focus their investments on strong founding teams with a good background, since the team's composition is important in operational terms and reduces the risks for investors. In this regard, Ullah et al. (2020) employ startup data from the Kickstarter platform to study the determinants of

fundraising. They find that female-led ventures often outperform their male-led counterparts in raising funds, primarily because women tend to engage more with potential investors and present more organized and clear entrepreneurial projects. This goes against the findings of Brooks et al. (2014), who find that women earn fewer credits than men. However, their data shows that women are more likely than men to be solo entrepreneurs, which is a barrier to accessing funding. This suggests that the effects found by Bernstein et al. (2017) and Ullah et al. (2020) may have limited applicability to female-led ventures.

2.3 The Entrepreneurial Gender Gap Cycle

The gender gap in entrepreneurship is a multifaceted challenge, deeply rooted in the interconnected dynamics of the environment, access to financing, and societal perceptions within the entrepreneurial landscape. The cycle begins with disparities in self-confidence. Research indicates that entrepreneurs typically exhibit higher levels of confidence compared to the general population (Koellinger et al., 2007; Verheul & Thurik, 2001). Having said that, female entrepreneurs tend to have lower self-confidence than men, including confidence in their entrepreneurial capabilities, which impacts their entrepreneurial endeavors (Kirkwood, 2009).

This reduced self-confidence becomes a critical link in the cycle, as it affects women's ability to secure external financing. Female entrepreneurs often face challenges in accessing external financing, receiving less financial support compared to male-led businesses (Kanze et al., 2018). Discrimination and the perception that women are less competent than their male counterparts compound this challenge (Burke et al., 2014; Gicheva & Link, 2013; Heilman et al., 2004; Malmström et al., 2017; Saporito et al., 2013). For instance, women leaders often face questions about their credibility (Reutzel & Belsito, 2015; Sara & Peter, 1998).

For example, women leaders are often questioned about their credibility (Reutzel & Belsito, 2015; Sara & Peter, 1998). Despite evidence suggesting that businesses led by women tend to establish more realistic and data-driven target margins (Watson et al., 2017; Wallace et al., 2018), they often set lower target margins compared to men due to their realistic and objective approach to decision-making (Faes et al., 2010). This situation contributes to amplifying and reinforcing the cycle they find themselves in, as lower target margins are typically less appealing to investors, even when they are more realistic (Terjesen & Amorós, 2010).

The evaluation process of new businesses by financial institutions is based on three key elements: the company itself, the founder or founders, and the perception of the founder's ability to carry out the project (Huang et al., 2015; Lee & Huang, 2018). Unfortunately, this evaluation process by financial lenders often leads to unconscious bias and discrimination against female entrepreneurs (Carter et al., 2007; Malmström et al., 2017; Verheul & Thurik, 2001). Male entrepreneurs are frequently considered the 'ideal' entrepreneurs, with entrepreneurial attributes more closely associated with them than with women (Yoopetch, 2021). As a result, male entrepreneurs are often perceived as more capable and trustworthy in the eyes of bankers (Becker-Blease et al., 2007; Malmström et al., 2017). Lower target margins or the lack of clearly set margins may cause investors to consider female-led ventures to have lower survival chances (Fafchamps et al., 2014; McKenzie et al., 2017).

The gender gap cycle becomes even more pronounced when women lead companies in predominantly male-dominated industries. Women applying for loans face an increased likelihood of credit denial and a decrease in the valuation of their companies. In contrast,

companies led by men achieve similar outcomes in terms of financing and valuation, regardless of the sector in which they operate (Kanze et al., 2020).

This cycle of gender disparity perpetuates itself as companies led by men typically outperform those led by women in various indicators of growth and economic success due to their greater access to credit (Lee & Huang, 2018). This increased business success is often associated with a stronger focus on the target market, which, in turn, is linked to higher profits for these companies (Badulescu et al., 2019). As a result, this contributes to higher confidence levels among male entrepreneurs (Bloom & Van Reenen, 2007; Koellinger et al., 2008; Ilieva et al., 2018).

In addition to having greater self-confidence, men tend to be more optimistic about entrepreneurial opportunities, which could lead them to set higher target margins and have less fear of failure (Ilieva et al., 2018; Koellinger et al., 2008; Mongrut et al., 2020.). This optimism and self-confidence play a pivotal role in the gender gap in entrepreneurial activity rates, further highlighting the complex dynamics at play in the entrepreneurial landscape (Bloom & Van Reenen, 2007; Koellinger et al., 2008; Langowitz & Minniti, 2007; Zisser et al., 2019).

3 Data and Methodology

3.1 Dataset

The data used for this study comes from the Global Accelerator Learning Initiative (GALI) and span the 2013–2019 period.³ When a venture applies for one of the GALI programs, the

³ GALI is a research initiative that seeks to explore key questions about business acceleration. The GALI dataset includes data describing the entrepreneurs they attract and support and provides a public database that spans the period between 2013 and 2019.

founder is asked to complete a survey on the socio-economic characteristics of the venture and its founders. These include, among others, the manufacturing department, the venture's headquarters and geographical location, funding sources and amounts, profit targets, workforce size, and whether the venture has a presence on social media. The data on up to three founders includes their educational level, previous work experience, gender, and if they were accepted into the program.⁴

We focus on the data collected from each venture at the time of applying for a program, regardless of whether it was accepted by the GALI program. We restrict our attention to for-profit ventures, as they are the ones that tend to set a profit margin, and to those ventures located in either Latin America and the Caribbean (LAC) or Sub-Saharan Africa (SSA).⁵ Our final sample consists of 7,662 ventures in 70 countries: 4,810 ventures are in 28 LAC countries and 2,852 ventures in 42 SSA countries.

3.2 Dependent Variables

The differences in behavior when defining a profit margin and its magnitude are given by two variables. The first variable, called *Venture has a target margin*, is a dichotomous variable with a value of 1 if the venture set a target margin in year t , and a value of 0 if it did not. The second variable, called *Target margin*, is utilized in interval regression analysis, and reflects the magnitude of the target margin established for year t . It goes from a minimum margin of a zero percent to a maximum margin of over 20 percent.

3.3 Independent Variables

⁴ If the venture is accepted into a program, they are further surveyed once a year.

⁵ We define the location of the venture using the geographic location of the headquarters.

We create three dichotomous variables based on the gender of the primary venture founders. *Onlyfemale* is equal to 1 if all venture founders self-report being female, and zero otherwise. *Somefemale* takes the value of one if at least one (but not all) self-identifies as female, and zero otherwise. *Zero female founders* is equal to 1 if none of the founders self-declare as female, and zero otherwise. These variables are used in the study to examine how the founders' gender composition relates to the decision to set a target margin.

3.4 Control Variables

Based on the literature review, the analysis incorporates various control variables to capture potential mediators influencing the decision to set a target margin. These variables encompass both venture and founder characteristics. Among the venture characteristics, we include the venture's size, revenue in year $t-1$ and owners' investment amount in year $t-1$ as they can impact the venture's costs, profits, and profit margin.⁶ We include the industry in which the venture operates and its invention-based status as control variables, following literature highlighting their impact on credit access, financing, and overall enterprise success. Additionally, we consider the venture's age, recognizing differing profit objectives between very young and mature ventures.⁷

We also include essential founder characteristics. Like Beyhan & Fındık, (2022) and Lall et al. (2020), we include average characteristics for all founders, such as age, number of previously founded organizations, highest level of education completed, and years of prior experience.

3.5 Estimation Methodology

We employ both a linear and an interval regression analysis. The linear regression approach helps us determine if female-led ventures are less likely to set a target margin than male-led ventures. The interval regression explores whether the magnitude of target margins in

⁶ Venture size was calculated based on the classification of companies according to the number of employees from the World Bank's website, i.e., micro enterprises are those with less than 9 employees, small enterprises have more than 10 and less than 49 employees, medium enterprises have between 50 and 249 employees, and large enterprises have more than 250 employees.

⁷ This variable is obtained by subtracting the year in which the venture was founded and the year in which the venture filled out the GALI form.

ventures with founding teams comprising only women differs from those in male-led ventures. We estimate equations of the form:

$$Y_{isjt} = \alpha + \beta_1 \text{OnlyFemale}_i + \beta_2 \text{SomeFemale}_i + \theta_s + \mu_j + \nu_t + \Gamma \mathbf{X}_{isjt} + \epsilon_{isjt}$$

where i indexes ventures, s stands for the venture's primary sector, j stands for the venture's country, and t refers to the year of application to a GALI program. The variable OnlyFemale_i takes the value of 1 if all of the venture's founders are women, SomeFemale_i is equal to one if venture founders' gender is mixed. The omitted category, thus, refers to ventures with no women founders. θ_s , μ_j , ν_t are sector, country and year fixed effects. $\mathbf{X}_{isjt}$ describes a vector of controls representing characteristics of both the venture and its founders. The dependent variables Y_{isjt} show whether the venture set a target margin, and the target margin range, as measures of ventures' target margin described in Section 3.2.

3.6 Descriptive Statistics

In Table 1, we summarize the characteristics of the ventures in our sample based on the gender composition of the founders and the region of the venture. Seventy two percent of ventures in the sample set target margins, although this figure drops to 69 percent among those with only female founders. In terms of size, 87 percent are microenterprises, but the number increases to 93 percent in the case of female-led ventures.

Female-led ventures tend to come from the artisanal, culture, education, and health sectors, while male-led ventures are more likely to operate in industries such as financial services, information and communication technologies, energy and housing and infrastructure development services. Thus, female-led ventures are concentrated in traditional sectors with

little value added, while male-led ventures are in sectors that generate value added and are at the forefront of current market needs.

Table 2 in turn presents summary statistics on the ventures' founders, classified by gender composition. While founders of female- and male- led ventures seem to be similar in terms of age, distribution of education, and years of experience, in female-led ventures, founders would appear to have less experience in leading roles (such as CEO and senior management) than founders of male-led ventures. Moreover, founders of female-led ventures were involved in the creation of less than half the number of for-profit firms than founders of male-led enterprises.

Finally, in Table 3, we present the correlation matrix of the main independent variables in our analysis. With the unsurprising exception of venture's age and age squared, the correlation between any two variables is low, reducing our concerns regarding multicollinearity across independent variables which could bias the standard errors upward.

4 Results and Discussion

4.1 Full Sample

We start by analyzing gender differences as regards the decision to set target margins. We run a regression with an indicator variable set to one if the venture has a target margin, against two indicators: one for ventures with all-female founding teams and another for ventures with mixed-gender founders. The reference category is ventures in which all founders are male. The results are presented in Table 4. Columns 1, 3 and 5 present a linear regression model with fixed effects for venture's primary sector, venture's location, and the year in which the venture completed the survey to apply to a GALI program. In columns 2, 4 and 6 we add the

controls described in section 3.4.⁸ We find that companies led exclusively by women are 5 pp less likely to set target margins compared to companies led by men (Table 1, column 1). This relationship holds even when we introduce controls for venture and founder characteristics (column 2).

In Table 5 we analyze whether female-led ventures set different target margins compared to companies led by men. Once again, columns 1 and 2 display the results for the full sample. Among companies that set target margins, those led by women establish significantly lower target margins. Specifically, companies led exclusively by women set, on average, target margins that are 0.72pp lower compared to companies led exclusively by men. This finding remains consistent even after incorporating control variables for the characteristics of the venture and its founders.

It's worth emphasizing that entrepreneurs' confidence in their abilities significantly influences the decision to set target margins and their range, corroborating the insights from prior studies (Kirkwood, 2009; Koellinger et al., 2008; Zisser et al., 2019) that highlight women's tendency to exhibit lower self-confidence in their entrepreneurial roles.

Given our finding that setting a target margin and its range are associated with the gender composition of founders, in line with Kanze et al., (2020), we investigate whether these outcomes are influenced by specific sectors of the economy. In Table 6 we estimate the

⁸ We estimate a linear probability model for ease of interpretation of the results. For completeness, we also run a logistic regression and present the results in Table A1.1 where the estimates are interpreted as log odds. The conclusions derived from this model are equivalent to those we obtain from our preferred specification.

likelihood of setting target margins and the target margin size, separately for activities in the primary, secondary, and tertiary sectors of the economy.⁹

Our results align with those of Kanze et al., (2020), indicating that female entrepreneurs are more influenced when operating in male-dominated sectors. The impact on target margin setting is more pronounced within the tertiary sector, where male leadership predominantly prevails. Female-led ventures in the tertiary sector exhibit an 8 pp lower likelihood of setting a target margin compared to those led solely by men.

4.2 Regional Differences

To examine the impact of contextual factors on female entrepreneurs' decision-making, particularly when it comes to setting target margins, we divided our sample based on the regional context, specifically Sub-Saharan Africa (SSA) and Latin America and the Caribbean (LAC).

In Table 4, columns 3 and 4, we assess target margin setting in SSA-based companies but do not observe statistically significant effects. In contrast, columns 5 and 6 present the results for LAC, supporting the hypothesis proposed by Terjesen and Amorós (2010), which suggests that women-led ventures in LAC face greater challenges in getting started. Specifically, we find that companies led by women in LAC have a 7 pp lower probability of setting target margins, and this result holds even when we incorporate controls related to the characteristics of the founders and the company.

⁹ The primary sector comprises Agriculture, Environment and Water, and Energy. The secondary sector includes Artisanal activities and Housing and Infrastructure. The tertiary sector encompasses Culture, Education, Financial Services, Health, Communication, Supply chain, Technical Services, and Tourism.

4.2 Robustness Checks and Limitations

We conducted a rigorous robustness analysis to scrutinize the validity of the conclusions presented in this study. As a crucial step in this process, we explored the model using diverse variables that capture entrepreneurial aspirations. These include dichotomous variables such as whether the venture holds patents, trademarks, and equity. Additionally, we included other variables such as the equity raised in the previous year and the equity the venture aims to achieve in the next 12 months of operation. We also controlled for venture and founders' characteristics. The results, presented in Tables A1, A2, and A3 of the Online Appendix, show that female-led ventures are less likely to hold patents, trademarks, and equity, consistent with our main results.

A limitation we have in this study is a possible endogeneity bias due to omitted variables in the model. One such variable is the quality and advancement of the venture. Although we included the age of the venture as a proxy, this variable may be measured with error. Likewise, variables linked to attitudinal behavior may also affect the decision to set a target margin in the venture. However, there are no such variables in the GALI database used.

Another potential limitation refers to the possibility of target margins being overreported due to the nature of the database. People seeking external funding may have incentives to increase their target margin, thinking that this will increase the likelihood of receiving capital investment. However, this incentive to 'exaggerate', if it exists, should be present for all companies, including those led by women.

5 Conclusions

Female entrepreneurs make important contributions to the global economy (Yoopetch, 2021), yet they continue to face significant barriers to business creation and growth (Chiplunkar et al., 2021; Kanze et al., 2018, 2020). In this paper, we study one factor that may explain the hurdles faced by female-led firms to remain in business: differences in the setting of target margins and in the magnitude of the margins actually set. Our analysis shows that female-led ventures are less likely to set a target margin, and when they do, their targets are lower than those of male-led ventures. On average, female-led ventures set a profit margin 0.72 pp below that of male-led ones, even after controlling for characteristics that affect the success and survival of their ventures. In addition, women's tendency to be solo entrepreneurs means that their ventures tend to be much smaller and focused on local markets in the primary and secondary sectors of the economy.

All these factors suggest that women are overrepresented in the ventures that are most susceptible to market shocks and economic downturns. These structural barriers can be addressed through incubators, accelerators, and entrepreneurial networks that support funding for female entrepreneurs, especially in male dominated environments (Lall et al., 2020). This could allow female-led ventures to make decisions more easily about defining a target margin and set higher profit margins. Our findings provide important insights into gender differences and similarities as regards the decision to set a target margin, its magnitude, and the gender gap as policy inputs. Policymakers should actively promote the development of networks and initiatives that specifically support and connect female investors. These networks may facilitate the flow of resources to sectors where female entrepreneurs are traditionally underrepresented. Additionally, policymakers should consider

implementing targeted programs and incentives to increase the capital levels of ventures led by women. This could entail establishing funding mechanisms like grants or low-interest loans, accessible solely to women-led ventures. It also necessitates heightening awareness among funding providers, emphasizing not only the quantity of target margins set but also the methodology behind their establishment and the information considered. By doing so, we can not only enhance women's access to credit but also improve profit forecasting for both lenders and borrowers in the market. By taking these concrete steps, policymakers can contribute to fostering a more inclusive and supportive entrepreneurial ecosystem for women. This, in turn, should be accompanied by support for female business owners in male dominated sectors. In this case, incubators and accelerators are key to ensuring that women are properly supported to create strong ventures with a lasting impact on markets and industries (Lall et al., 2020).

Research Data Policy and Data Availability Statements: The datasets analyzed during the current study are available in the ANDE repository <https://www.galidata.org/data-request/> upon reasonable request.

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Full sample			Only female founders			Some female founders			Zero female founders		
Mean	Std. Dev	Obs.	Mean	Std. Dev	Obs.	Mean	Std. Dev	Obs.	Mean	Std. Dev	Obs.
0.72	0.45	7,662	0.69	0.46	1,014	0.74	0.44	2,937	0.70	0.46	3,711
0.87	0.33	7,620	0.93	0.26	1,011	0.85	0.35	2,913	0.87	0.34	3,696
0.11	0.32	7,620	0.06	0.25	1,011	0.13	0.34	2,913	0.11	0.32	3,696
0.01	0.11	7,620	0.01	0.08	1,011	0.02	0.12	2,913	0.01	0.12	3,696
0.00	0.04	7,620	0.00	0.03	1,011	0.00	0.04	2,913	0.00	0.04	3,696
0.53	0.50	7,662	0.39	0.49	1,014	0.53	0.50	2,937	0.58	0.49	3,711
0.18	0.38	7,662	0.14	0.35	1,014	0.23	0.42	2,937	0.15	0.35	3,711
0.03	0.16	7,662	0.08	0.28	1,014	0.03	0.16	2,937	0.01	0.10	3,711
0.01	0.12	7,662	0.03	0.18	1,014	0.01	0.11	2,937	0.01	0.10	3,711
0.08	0.27	7,662	0.10	0.31	1,014	0.08	0.27	2,937	0.07	0.26	3,711
0.05	0.21	7,662	0.02	0.15	1,014	0.05	0.21	2,937	0.05	0.23	3,711
0.08	0.28	7,662	0.08	0.27	1,014	0.09	0.29	2,937	0.08	0.26	3,711
0.09	0.29	7,662	0.03	0.16	1,014	0.06	0.24	2,937	0.13	0.33	3,711
0.08	0.28	7,662	0.11	0.31	1,014	0.09	0.28	2,937	0.08	0.26	3,711
0.03	0.17	7,662	0.02	0.14	1,014	0.03	0.18	2,937	0.03	0.18	3,711
0.11	0.32	7,662	0.04	0.21	1,014	0.09	0.29	2,937	0.15	0.35	3,711
0.04	0.20	7,662	0.04	0.20	1,014	0.04	0.20	2,937	0.04	0.21	3,711
0.03	0.16	7,662	0.02	0.15	1,014	0.03	0.17	2,937	0.03	0.16	3,711

Table 2 Summary statistics of founders' characteristics

<i>Role at the most recent job</i>
CEO
Senior Management
Support Staff
<i>Highest level of education completed</i>
Less than 9th grade
High school
Some graduate degree
Associate technical
Bachelor' s degree
Master' s degree
PhD
Average age
Average years of prior experience
Average number of previous for-profit ventures founded
Average number of previous non-profit ventures founded

Table 3 Correlation matrix for independent variables

	Only female founders	Some female founders	Total number of founders	Venture's age	Venture's age squared
Only female founders	1				
Some female founders	-0.3075	1			
Total number of founders	-0.3213	0.3826	1		
Venture's age	0.0065	0.0631	-0.0346	1	
Venture's age squared	-0.0092	0.0319	0.0048	0.7472	1

Table 4 Effect of gender composition of venture founders on the likelihood that the venture has target margins.

	Venture has a target margin					
	(1)	(2)	(3)	(4)	(5)	(6)
Only female founders	-0.046*** (0.017)	-0.031* (0.017)	-0.010 (0.026)	-0.003 (0.027)	-0.069*** (0.023)	-0.046** (0.023)
Some female founders	0.010 (0.012)	0.009 (0.012)	-0.011 (0.020)	-0.014 (0.020)	0.017 (0.015)	0.019 (0.015)
Constant	0.701***	0.667***	0.657***	0.879***	0.727***	0.576***

	(0.018)	(0.162)	(0.028)	(0.275)	(0.024)	(0.202)
Observations	7,627	7,416	2,838	2,745	4,789	4,671
R-squared	0.038	0.060	0.033	0.051	0.041	0.074
Region	All	All	SSA	SSA	LAC	LAC
Controls						
Headquarter country FE	Yes	Yes	Yes	Yes	Yes	Yes
Program Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Primary sector FE	Yes	Yes	Yes	Yes	Yes	Yes
Venture's characteristics	No	Yes	No	Yes	No	Yes
Founders' characteristics	No	Yes	No	Yes	No	Yes

Note: The table shows the results of a linear probability model in which the dependent variable is an indicator that takes the value of 1 if the venture has target margins. Regressions include a control for the number of venture founders and venture's age.

Venture's characteristics include: *Venture size* (Micro, Small, Middle-size), *Venture's primary sector* (Agriculture, Artisanal, Culture, Education, Energy, Environment and water, Financial Services, Health, Housing development and infrastructure development, Information and communication technology, Supply chain services and technical assistance services, Tourism, Venture is invention based)

Founders' characteristics include: average age, average number of organizations founded before, highest level of education completed, and average years of previous experience across all founders.

Robust standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1

Table 5 Effect of gender composition of venture founders on the target margin range of the venture

	Magnitude of the venture's target margin					
	(1)	(2)	(3)	(4)	(5)	(6)
Only female founders	-0.718*	-0.710	-0.810	-1.074*	-0.832	-0.658
	(0.426)	(0.436)	(0.620)	(0.639)	(0.588)	(0.599)
Some female founders	-0.421	-0.471	-0.735	-0.869*	-0.229	-0.212
	(0.295)	(0.300)	(0.451)	(0.458)	(0.392)	(0.397)
Constant	20.876***	16.477***	22.626***	57.458	59.535	47.814
	(3.279)	(4.872)	(3.259)	(965.3)	(2,007.9)	(1,853.3)
Observations	5,444	5,305	2,115	2,052	3,329	3,253
Region	All	All	SSA	SSA	LAC	LAC
Controls						
Headquarter country FE	Yes	Yes	Yes	Yes	Yes	Yes
Program Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Primary sector FE	Yes	Yes	Yes	Yes	Yes	Yes
Venture's characteristics	No	Yes	No	Yes	No	Yes
Founders' characteristics	No	Yes	No	Yes	No	Yes

Note: The dependent variable is the value of the target margin, measured in intervals. The sample is composed of all for-profit ventures that set a target margin. Regressions include a control for the number of venture founders and venture's age.

Venture's characteristics include: *Venture size* (Micro, Small, Middle-size), *Venture's primary sector* (Agriculture, Artisanal, Culture, Education, Energy, Environment and water, Financial Services, Health, Housing development and infrastructure development, Information and communication technology, Supply chain services and technical assistance services, Tourism, Venture is invention based)

Founders' characteristics include: average age, average number of organizations founded before, highest level of education completed, and average years of previous experience across all founders.

Robust standard errors in parentheses *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$

Table 6 Primary sector effects on setting a target margin.

	Venture has target margin			Target margin size		
	Primary sector	Secondary sector	Tertiary sector	Primary sector	Secondary sector	Tertiary sector
Only female founders	-0.046 (0.034)	0.001 (0.048)	-0.080*** (0.027)	-1.037 (0.773)	-0.594 (1.117)	-0.651 (0.725)
Some female founders	0.005 (0.023)	0.061* (0.036)	0.005 (0.018)	-0.222 (0.496)	-1.012 (0.821)	-0.483 (0.469)
Constant	0.688*** (0.036)	0.710*** (0.056)	0.689*** (0.029)	68.665 (0.000)	56.501 (1,827.2)	21.019*** (4.283)
Observations	1,975	775	3,45	1,486	590	2,347
R-squared	0.045	0.082	0.034			
Region	All	All	All	All	All	All
Controls						
Headquarter Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Program Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Sector FE	Yes	Yes	Yes	Yes	Yes	Yes

Note: The dependent variable is the value of the target margin, measured in intervals. **Primary sector comprises** Agriculture, Environment and Water, and Energy. **Secondary sector comprises** Artisanal and Housing and Infrastructure. **Tertiary sector comprises** Culture, Education, Financial Services, Health, Communication, Supply chain and technical services and tourism. Regressions include a control for the number of venture founders and venture's age.

Robust standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1